

International Business

The world has become a global marketplace. Large volumes of goods, services, ideas, money, and technology are transported throughout the world, affecting the lives of millions of people in the process. Today, virtually every aspect of economic activity is influenced by international business. As students explore the world of business and the opportunities and challenges that it presents, it is vital that they do so with an appreciation of the impact of the global marketplace and international trade. Through these courses, students will develop a fundamental understanding of the global economy. They will come to appreciate the impact that international business can have on their lives and communities today and on the careers and opportunities they are considering for the future. Through these courses, students will develop a broader and deeper understanding of international issues and concerns and begin to develop an informed awareness of those issues directly affecting their future careers.

Strands

International Business Fundamentals, Grade 12, University/College Preparation

- Business, Trade, and the Economy
- The Global Environment for Business
- Factors Influencing Success in International Markets
- Marketing Challenges and Approaches, and Distribution
- Working in International Markets

International Business Essentials, Grade 12, Workplace Preparation

- Canada in the Global Marketplace
- International Markets
- Conducting International Business
- International Careers and Skills

International Business Fundamentals, Grade 12, University/College Preparation

(BBB4M)

This course provides an overview of the importance of international business and trade in the global economy and explores the factors that influence success in international markets. Students will learn about the techniques and strategies associated with marketing, distribution, and managing international business effectively. This course prepares students for postsecondary programs in business, including international business, marketing, and management.

Prerequisite: None

Business, Trade, and the Economy

Overall Expectations

By the end of this course, students will:

- demonstrate an understanding of terminology, concepts, and basic business communication practices related to international business;
- analyse the impact of international business activity on Canada's economy;
- demonstrate an understanding of how international business and economic activities increase the interdependence of nations.

Specific Expectations

Terminology, Concepts, and Business Communication Practices

By the end of this course, students will:

- define the basic terminology of international business (e.g., international trade, multinational enterprise, global company, exports, imports);
- describe key concepts related to international business and globalization (e.g., fair trade; outsourcing; rationalization; absolute, competitive, and comparative advantage);
- use information technology for a variety of purposes related to international business;
- demonstrate effective use of business communication techniques (e.g., in business reports, presentations);
- identify Canada's major trading partners and locate them on a map.

The Impact of International Business on Canada

By the end of this course, students will:

- evaluate the benefits (e.g., decreased prices, increased quantity and quality of products, technological developments) and drawbacks (e.g., loss of jobs, increased foreign ownership of Canadian companies) of international trade for Canada;

- describe how the state of Canada's economy (e.g., inflation rate, unemployment rate, productivity levels) affects international businesses operating in Canada;
- explain how Canada can attract foreign investment.

International Interdependence

By the end of this course, students will:

- identify the types of international businesses (e.g., import/export, global sourcing, joint ventures, strategic alliances, wholly owned subsidiaries);
- describe ways in which international business activity develops interdependence among nations;
- describe the effects of barriers and obstacles to international business activity (e.g., tariff and non-tariff barriers, restrictions on foreign investment, fluctuations in currency);
- explain how and why Canada's major international business relationships have evolved over time.

The Global Environment for Business

Overall Expectations

By the end of this course, students will:

- analyse ways in which Canadian businesses have been affected by globalization;
- demonstrate an understanding of the factors that influence a country's ability to participate in international business;
- assess the effects of current trends in global business activity and economic conditions.

Specific Expectations

Effects of Globalization on Canadian Business

By the end of this course, students will:

- compare the characteristics of a multi-national enterprise participating in global business with those of a Canadian company focused on domestic business activity;
- analyse ways in which the workplace, occupations, the nature of work, and working conditions in Canada have changed as a result of the growth of a global economy (e.g., growth opportunities, downsizing, plant transfers, increase in contract work);
- analyse how, in an era of globalization, consumer choices and attitudes affect Canadian business decisions.

Factors Influencing Participation in International Business

By the end of this course, students will:

- describe, drawing on information from a variety of sources, including the Internet, the impact technology has had on the international business environment (e.g., e-commerce, e-distribution);
- demonstrate numeracy skills by converting a variety of international currencies to Canadian dollars;
- identify the factors that affect foreign exchange rates;

- describe, drawing on information from a variety of sources, including the Internet, international agreements and organizations that have influenced global business activity (e.g., North American Free Trade Agreement, Asia-Pacific Economic Cooperation; European Union; International Monetary Fund, Organization for Economic Cooperation and Development, World Trade Organization) and describe Canada's involvement in them;
- analyse the rationale for, and the impact of, Canadian government initiatives and policies relating to international trade (e.g., intergovernmental contacts, embassy and consulate networks, government trade missions; taxation, trade barriers, investment).

Effects of Trends

By the end of this course, students will:

- explain, drawing on information from a variety of sources, including the Internet, how Canadian and international companies, industries, and markets are being affected by increased global business activity;
- identify and analyse international business trends and their influences on companies, industries, and career opportunities in the global economy;

- assess, considering factors such as markets, financing, and labour, how trends in the global marketplace have changed the ways in which an individual might run a business;
- explain how globalization creates the need for standardization of products, services, and processes (e.g., through the International Organization for Standardization).

Factors Influencing Success in International Markets

Overall Expectations

By the end of this course, students will:

- analyse the ways in which cultural factors influence international business methods and operations;
- assess the ways in which political, economic, and geographic factors influence international business methods and operations;
- identify and describe common mistakes made by businesses in international markets;
- evaluate the factors currently affecting the international competitiveness of Canadian businesses.

Specific Expectations

Cultural Factors

By the end of this course, students will:

- describe the modifications made to goods and services to adapt them to the cultures of other countries (e.g., changing ingredients of packaged food products, avoiding certain colours or images in packaging, modifying the range of foods offered in restaurants);
- describe the challenges an international company may encounter with regard to ethics, values, language, and business practices in the various countries in which it operates (e.g., accommodating protocol and customs of local culture during international meetings, managing culturally diverse workforces);
- explain how the global market (e.g., global distribution and availability of products) has affected consumer demand.

Political, Economic, and Geographic Factors

By the end of this course, students will:

- evaluate the advantages and disadvantages in both developed countries and developing countries with regard to business opportunities (e.g., size of consumer base, government regulations, infrastructure, cost of labour);

- explain the impact that geography and political and economic systems have on international business;
- describe the roles corporations can play in the setting of international and domestic policy (e.g., lobbying, participating in trade missions).

Avoiding Common Mistakes

By the end of this course, students will:

- identify, drawing on information from a variety of sources, including the Internet, common mistakes made by companies when entering foreign markets;
- identify and describe the problems that some companies have experienced when exporting goods and services (e.g., changes in exchange rates, increases in duties, restrictions on products).

Canada's International Competitiveness

By the end of this course, students will:

- explain why some Canadian businesses enjoy success in a variety of international markets while others do not;
- explain how Canada's cultural diversity contributes to its competitive success in international business;
- explain how changes in the value of the Canadian dollar can affect business opportunities (e.g., how a lower-valued dollar can boost export sales in the short run);

- describe Canadian companies that are leaders at the international level and industries in which Canadian companies have had international success (e.g., biotechnology, telecommunications), and analyse the reasons for their success;
- compare the sources of Canada's current major imports and the destinations of its major exports.

Marketing Challenges and Approaches, and Distribution

Overall Expectations

By the end of this course, students will:

- assess the challenges facing a business that wants to market a product internationally;
- compare the approaches taken by various companies to market their products internationally;
- demonstrate an understanding of the logistics of, and challenges associated with, distribution to local, national, and international markets.

Specific Expectations

Marketing Challenges

By the end of this course, students will:

- identify the types of products that trade freely into and out of Canada and those that are restricted in their movement (e.g., textiles, softwood lumber, firearms);
- analyse the legal, political, and financial challenges a company faces in getting a product to different markets;
- explain the importance of understanding consumer differences (e.g., with regard to cultural norms, disposable income, spending habits) when marketing globally.

Marketing Approaches

By the end of this course, students will:

- identify market-entry strategies used by companies for entering foreign markets;
- describe, on the basis of online investigation, the ways in which information and communication technology (e.g., as used in e-commerce, e-distribution, data mining) influences global marketing strategies;
- compare marketing approaches taken by companies in different foreign markets.

Distribution and Logistics

By the end of this course, students will:

- compare the logistics of delivering a product to a local, a national, and an international market;
- describe the key factors (e.g., climatic considerations, topography, cost) that influence the ways in which a company may deliver its product to an international market;
- compare the advantages and disadvantages of different modes of transportation for distributing a product to different world markets;
- identify, drawing on a variety of sources, including the Internet, information to facilitate the import/export process (e.g., International Trade Canada, brokerage firms).

Working in International Markets

Overall Expectations

By the end of this course, students will:

- analyse the ways in which ethical considerations affect international business decisions;
- assess the working environment in international markets;
- demonstrate an understanding of the process for crossing international borders as it relates to international business.

Specific Expectations

Ethical Issues

By the end of this course, students will:

- assess ways in which multinational enterprises have both positive and negative effects on the countries in which they operate, including the impact on the norms and practices of local and indigenous cultures (e.g., effects of the information and communication technology industry in India; effects of food, drug, and resource-extraction companies in Africa);
- evaluate the ethical issues that arise for companies competing internationally, in relation to the following groups: consumers (e.g., safety, fair pricing, disclosure); stockholders (e.g., fair return, controlled risk); employees (e.g., fair wages, good working conditions, outsourcing, regulation of child labour); the host country (e.g., effects on local economy, respect for local laws and cultural preservation); and society (e.g., sustainability of development, practices to combat corruption);
- analyse the ways in which international development agencies (e.g., United Nations organizations, World Health Organization) and non-governmental organizations (e.g., Greenpeace, World Safety Organization) promote economic progress in developing countries;

- compare Canada with other countries with respect to cultural theories (e.g., Porter's diamond theory, Hofstede's cultural dimensions theory) and viewpoints (e.g., ethical imperialism, cultural relativism), as they relate to ethics in international business.

Working Conditions in International Markets

By the end of this course, students will:

- describe working conditions (e.g., with respect to gender roles, business customs and practices, means of communication, structure of the work day) in various international markets;
- analyse differences across cultures in perceptions, interpretations, and attitudes (e.g., in relation to gender, hierarchical structure, communication, actions, events) that might affect how individuals work in another country;
- compare management and negotiation strategies in other countries with those in Canada (e.g., conflict resolution, mediation, collective bargaining, strike action).

Border Issues

By the end of this course, students will:

- explain the role of the Canada Border Services Agency (e.g., facilitating legitimate cross-border traffic, supporting economic development);

- identify, drawing on information from a variety of sources, including the Internet, the requirements for study, travel, and employment in different countries (e.g., passports, student visas, work permits);
- analyse, drawing on information from a variety of sources, including the Internet, the impact of recent international events (e.g., 9/11, SARS outbreak in Toronto, discovery of BSE in Canadian cattle) on Canadian international business.